consumer is to stay on the same level of satisfaction. (a necessary consequence of the non satiety postulate).

The curves that do not have negative slopes such as those shown in diagram 2.17 cannot be indifference curves, in all three cases combination B is clearly preferable to combination A.

2. Indifference Curves are convex to the origin

Indifference curves are not only negatively sloped, but are also convex to the origin. The convexity of the indifference curves implies that not only the two commodities are substitutes for each other but also the fact that the marginal rate of substitution (MRS) between the goods decreases as a consumer moves along an indifference curve.

3. Indifference curve cannot intersect

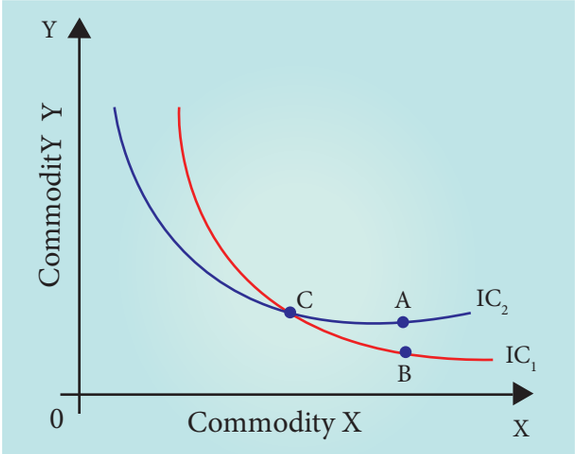


Diagram 2.18

IC_1 is lower indifference curve denoting lesser satisfaction. Combination C and B fall on IC_1.

IC_2 is upper indifference curve denoting higher satisfaction. C and A combinations are on IC_2.

At the point of intersection, C=B on IC_1 and C=A on IC_2. So A=B whereas, A is in upper IC and B is on lower IC. This is not possible.

4. Indifference curves do not touch the horizontal or vertical axis.

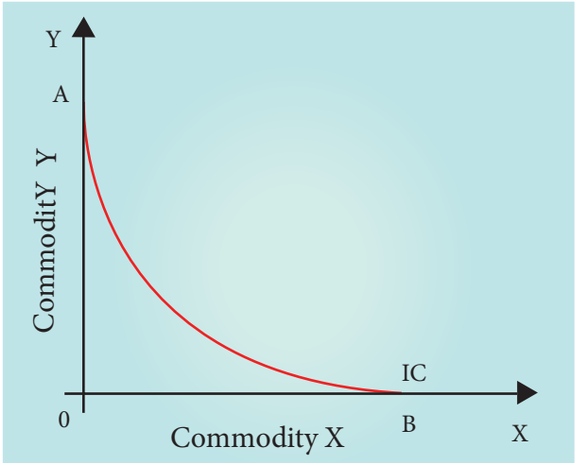


Diagram 2.19

If they touch the axis, it violates the basic assumption that the consumer purchases two commodities in a combination. Purchasing only one commodity means monomania that is consumers' lack of interest in the other commodity or his insistence on purchasing only one commodity.

2.15 Price line or Budget line

Demand for a good depends upon (i) preference for that good and (ii) purchasing power. The preference pattern is represented by set of indifference curves. The purchasing power depends on his money income and price of the goods. Money income and price level are represented by budget line. The budget

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